Shareholders' funds = Equity share capital + Preference share capital + Reserves and surplus
= 1,00,000 + 75,000 + 25,000
= ₹ 2,00,000

(iii) Capital gearing ratio

Capital gearing ratio is the proportion of fixed income bearing funds to equity shareholders' funds. Fixed income bearing funds include fixed interest and fixed dividend bearing funds. It is calculated as follows:

$$\text{Capital gearing ratio} = \frac{\text{Funds bearing fixed interest and fixed dividend}}{\text{Equity shareholders' funds}}$$

Funds bearing fixed interest or fixed dividend	Equity shareholders' funds
Preference share capital Debentures Bonds Long term borrowings carrying fixed interest	Equity shareholders' funds = Equity share capital + Reserves and surplus

Capital gearing ratio is a measure of long term solvency as well as capital structure. When the capital gearing ratio is greater than one, the firm is said to be high geared.

Illustration 6

From the following information calculate capital gearing ratio:

Balance Sheet (Extract) as on 31.03.2018

Particulars	₹
I EQUITY AND LIABILITIES	
1. Shareholders' funds	
(a) Share capital	
Equity share capital	2,00,000
6% Preference share capital	1,00,000
(b) Reserves and surplus	
General reserve	1,25,000
Surplus	75,000
2. Non-current liabilities	
Long-term borrowings (8% Debentures)	2,00,000
3. Current liabilities	
Trade payables	1,50,000
Provision for tax	50,000
Total	**9,00,000**

$$\text{Capital gearing ratio} = \frac{\text{Funds bearing fixed interest and fixed dividend}}{\text{Equity shareholders' funds}}$$

$$= \frac{3,00,000}{4,00,000} = 0.75:1$$

Funds bearing fixed interest and dividend = 6% Preference share capital + 8% Debentures
= 1,00,000 + 2,00,000 = ₹ 3,00,000

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